

In this topic, you will explore strategic planning and decision making and the application of business analytics to support strategic planning. You will learn about the different types of strategic decisions that are often made by organisations and how business analytics can help each of those models.

Strategic decisions vs operational decisions

To understand the application of analytics in strategic planning, it is important to understand the difference between strategic and operational decisions.

Strategic planning deals with planning and policy making. Some examples of a strategic decision are when a telecommunication company decides to introduce very cheap off-peak tariffs to attract callers away from the peak times rather than install extra equipment to cope with increasing demand, or when a large supermarket chain decides to open its stores on Sundays or offers a general 20 per cent price reduction for one month to increase market share.

Operational decisions focus on daily operation of a business and answer questions such as:

- How many unfulfilled orders are there?
- On which items are we out of stock?
- What is the status of a particular order?

Analytics for strategic decisions

Analytics is generally used for strategic decisions, though it is equally applicable at lower levels of management too. To understand the process of applying analytics to the strategic decision-making process, it is important to understand the following:

- How do we use business intelligence / business analytics at the strategic level?
- When do we know what we are looking for?

In some cases, you would already know the questions you are trying to answer and use the following ways to discover the answers:

- layout-led discovery
- data-led discovery.

In some cases, you may have a lot of data that you have discovered using data-led discovery, but you are not sure what to do with that data. In such cases, you will use analytics or apply data mining techniques.

Click on the below headings to reveal further information.

> Layout-led discovery

> Data-led discovery

> Analytics

Planning and strategy of better business decisions

Different organisations have different business models, different focuses and different cultures. Therefore, the same application of analytics will rarely be effective in two different contexts. In a diverse environment, competitive advantage can be gained only through differentiation/customisation and not replication. To understand how business analytics could be applied effectively in diverse scenarios and different organisations, different approaches must be applied. Some of the organisational planning strategies are:

- traditional view — SWOT analysis
- external view — Porter's five forces
- internal view
- customer view.

To understand the role of business analytics in each of these strategies, let's explore them further.

Traditional view — SWOT analysis

SWOT analysis is a study undertaken by an organisation to identify its internal strengths and weaknesses, as well as its external opportunities and threats. SWOT analysis helps an organisation identify:

- strengths — competencies and assets
- weaknesses — gaps in competencies, strengths
- opportunities — external conditions that (if harnessed well) can lead to success
- threats — potential changes in the external environment, preventing opportunities being realised.

Some of the key attributes of a SWOT analysis are shown in the image below.

Figure 2.1

SWOT analysis



(Click on the image to expand)

© Shewan, 2020

[\[Image transcript\]](#)

Business analytics plays the role of a critical enabler for an organisation that undertakes a SWOT analysis and helps create strengths and neutralise weaknesses by matching and converting strategies. Matching strategies map strengths to opportunities and converting strategies identify means to convert weaknesses or threats to strengths and opportunities. To do this, organisations need to be fast and smart to be able to achieve sustainable competitive advantage.



Watch

How to use SWOT analysis

This video [3.04 min.] explains how to apply a SWOT analysis in an organisation. Through this video, you will learn skills that will be useful in the real world.

How to Use SWOT Analysis



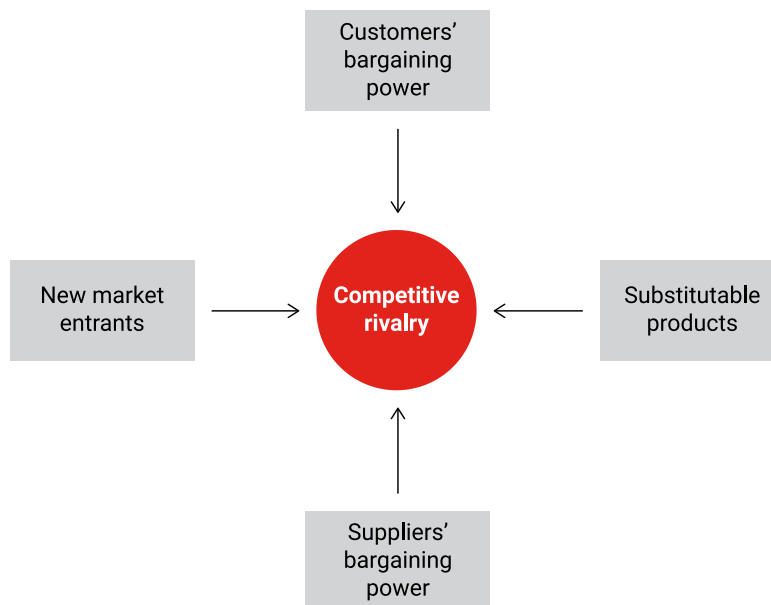
© 2018 by MindToolsVideos. *How to Use SWOT Analysis*

External view — Porter's five forces

Strategic planning based on Porter's five forces looks at external factors that can influence and improve the attractiveness of a given market. The five factors that influence a market according to this model are shown in the image below. These five factors determine how attractive and competitive a market can be.

Figure 2.2

Porter's five forces



© La Trobe University, 2024

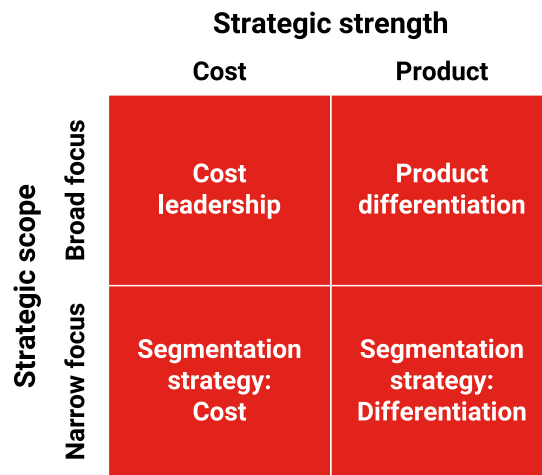
[\[Image transcript\]](#)

The strategy to manage these five factors is represented in the image below. This strategy considers:

- the cost
- the products
- product segmentation — how could the organisation target a more specific group of customers for its different products
- cost segmentation — how can an organisation become a cost leader.

Figure 2.3

Porter's five forces management strategy



© La Trobe University, 2024

[\[Image transcript\]](#)

Business analytics can help an organisation become a cost and product leader.

It can help an organisation become a cost leader by:

- identifying the balance between price and demand (pricing analytics)
- supply chain optimisation.

It can help the organisation with its differentiation strategy through:

- retention analytics
- direct marketing
- upsell modelling.

It can help the organisation with its segmentation strategy through:

- segmentation modelling
- behaviour analysis.

Application of these analytics functions will help an organisation target a more specific group of customers by:

- customising customer treatment patterns
- optimising pricing structures
- improving automation to reduce cost
- scaling for managing more complex market strategies.



Watch

The explainer: The 5 forces that make companies successful

This video [1.57 min.] explains Porter's five forces in detail to help you understand how companies can apply business intelligence to be successful. Through this video, you will learn skills that will be useful in the real world.

The Explainer: The 5 Forces That Make Companies Successful



© 2019 by Harvard Business Review. *The Explainer: The 5 Forces That Make Companies Successful*

Internal (resource) view

This model of strategic planning is considered as an alternative to Porter's five forces but can also be complementary. This model views an organisation as a construct of resources and competencies. For such an organisation, competitive advantage is achieved by reconfiguring the internal factors to add value or differentiate from competitors. It follows the **VRIN** principle — that is, to acquire and develop:

- Valuable
- Rare
- Inimitable, and
- Non-substitutable resources within an organisation.

The strategic decisions to be made by such an organisation are:

- understanding the resources available (VRIN)
- identifying available competencies and core capabilities
- profiling profit-making capacities of resources and capabilities
- identifying existing gaps in resources or capabilities and investing in them to strengthen or create new capabilities.

For an internal view-based organisation, use of business analytics transforms the organisation by creating a culture of smarter, faster, more effective and distinctive decision making — almost impossible to replicate.

For instance, a market analytics team of an organisation may develop competencies and processes (over years) tailoring them heavily to the organisation's unique information ecosystem — including specific segmentation, market insight, predictive models, deployment skills and individuals, technological platforms, organisational structures and cross-team relationships. This results in a sustainable competitive advantage that comes from creating an organisational culture which focuses on leveraging business analytics within a large variety of processes.

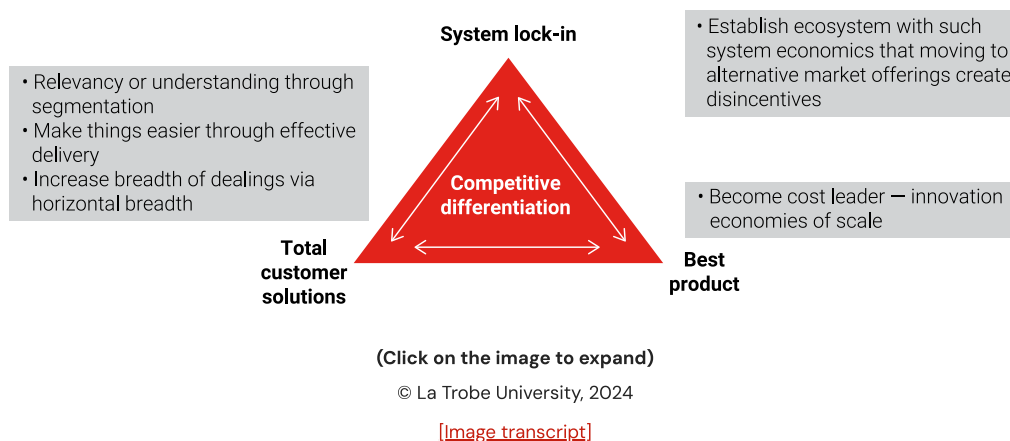
Customer view planning

In strategic planning based on customer view, an organisation puts its customers at the forefront of its strategy. For this organisation, competitive advantage is gained by establishing a high level of customer bonding, thus discouraging customers from moving to competitors. For instance, take Apple users. It is almost impossible to get an iOS user to switch to Android and vice versa. This competitive advantage based on customers is gained by adopting three principles, as represented in the image below. These are:

- system lock-in — create a system where moving to a competitor will seem like loss of incentives to a customer
- best product — become a leader in providing the best product using innovation with competitive pricing
- total customer solutions — make things easier for the customer; understand them and give them what they want.

Figure 2.4

Competitive advantage



For such an organisation that places customers at the heart of everything it does, it is important to understand why a customer is important.

According to Peter Drucker, a well-known management consultant, writer and business thinker (1909–2005) who is also known as the man who invented 'management', there is only one valid definition of a business purpose — that is, **'to create a customer'**.

According to him (Drucker, 2016), for any business to thrive it must pursue a strategy that:

1. gains more customers
2. keeps existing customers
3. increases the frequency and value of transactions.

Business analytics enables customer view–based planning by:

- pursuing best product strategy through:
 - supply chain optimisation
 - process improvement via six-sigma methodologies
 - analysing total cost of service delivery
- providing total customer solutions strategy through:
 - segmentation models
 - customer profitability measurement
 - cross-selling and up-selling models for horizontal breadth
- ensuring system lock-in strategy through:
 - large-scale test-and-learn exercises to identify highly marketable products
 - highly scalable exchanges which link large numbers of interested parties.

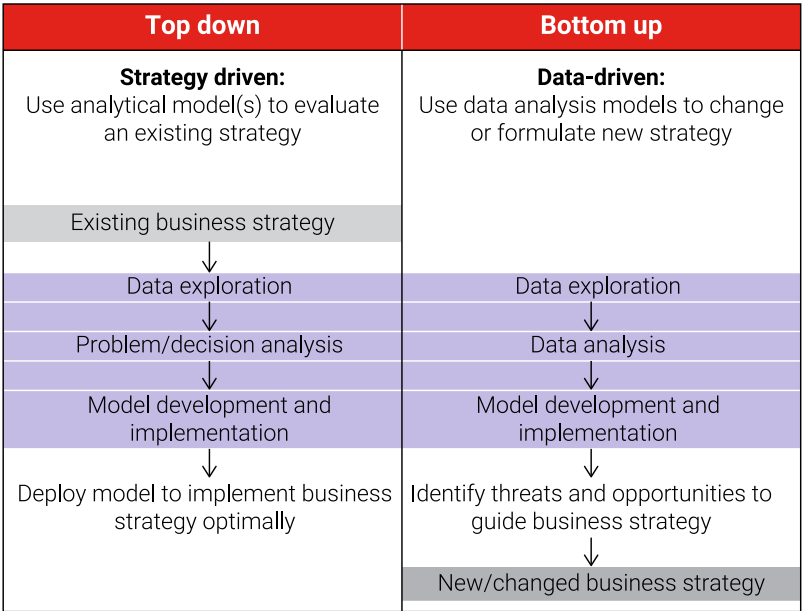
Business analytics acts as an enabler for any organisation. Its flexibility and adaptability make it attractive and its ability to produce sustainable results has ensured that more and more organisations adapt and apply business analytics to solve their problems and improve performance.

Business analytics can also be applied in different ways based on the organisations needs and requirements. It can be used to support an existing strategy through a 'top-down' approach or help in creating new business strategies through a 'bottom-up' approach, as represented in the image below. You will explore the application of business analytics further in the next topic.

Larger companies that have been in business for many years mostly apply the top-down approach as they have enough knowledge about their customers and strong strategies already in place. In contrast, the bottom-down approach is usually employed by start-ups and smaller companies who use data and exploratory analysis to determine the strategy for their business.

Figure 2.5

Top down and bottom up approaches



(Click on the image to expand)

© La Trobe University, 2024

[\[Image transcript\]](#)

Last modified: Tuesday, 26 November 2024, 10:16 PM

[← Topic 1: Anatomy of decisions](#)

Jump to...

[Quiz: Check your understanding →](#)

You are logged in as Hoang Thanh Truc Nguyen (Log out)

[Emergency information](#) [Child Safety](#) [Contacts](#) [Site map](#) [Accessibility](#) [Privacy](#) [Copyright and disclaimer](#)

© Copyright 2025 La Trobe University. All rights reserved. La Trobe University CRICOS Provider Code Number 00115M